

PRA Glossary - C

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capital add-on

means the amount by which the SCR of a UK Solvency II firm, or the group SCR of a group (as appropriate), is increased by the PRA as a result of a standard formula significant risk profile deviation, internal model significant risk profile deviation, internal model residual deviation, significant system of governance deviation, significant deviation from relevant assumptions or (if appropriate) a specific risk existing at group level.

capital redemption

means the class of contract of insurance, specified in paragraph VI of Part II of Schedule 1 to the Regulated Activities Order.

Capital Requirements Regulations

means the Capital Requirements Regulations 2013 (SI 2013/3115).

capital resources

means the firm's capital resources as calculated in accordance with Insurance Company - Capital Resources 2.1.

capital resources table

means the capital resources calculation table at Insurance Company - Capital Resources Table 2.1.

captive insurer

means a UK Solvency II firm owned by: (1) a financial undertaking other than a UK Solvency II firm; or (2) a group of UK Solvency II firms; or (3) a non-financial undertaking; the purpose of which is to provide insurance cover exclusively for the risks of the undertaking or undertakings to which it belongs, or of an undertaking, or undertakings, of the group of which that UK Solvency II firm is a member.

captive reinsurer

means a UK Solvency II firm that is a pure reinsurer owned by: (1) a financial undertaking other than a UK Solvency II firm; or (2) a group of UK Solvency II firms; or (3) a non-financial undertaking; the purpose of which is to provide reinsurance cover exclusively for the risks of the undertaking or undertakings to which it belongs or of an undertaking or undertakings of the group of which that pure reinsurer is a member.

carrying out contracts of insurance

means the regulated activity specified in article 10(2) of the Regulated Activities Order (Effecting and carrying out contracts of insurance).

cash-flows that are not fixed

means any cash-flows that are not fixed or that are capable of being changed by issuers of the assets or any third parties, but excluding any cash-flows that fall within the scope of regulation 4(9)(b) or (c) of the IRPR regulations.

central assets

means the Society's own assets that are available at its discretion to meet a member's liabilities in respect of insurance business.

central bank

This term is defined externally, please refer to: Article 4(1)(46) CRR.

central bank claim

means a firm's exposures to a central bank that are denominated in the national currency of the central bank and represented by: (1) banknotes and coins constituting legal currency in the jurisdiction of the central bank; (2) reserves held by the firm at the central bank; (3) reserves held by or on behalf of the firm in an omnibus account at the central bank; or (4) any assets representing debt claims on the central bank with a maturity of no longer than three months.

central counterparty

This term is defined externally, please refer to: Article 4(1)(34) CRR

Central Fund

means the Central Fund established under Lloyd's Central Fund Byelaw (No 4 of 1986) and the New Central Fund established under Lloyd's New Central Fund Byelaw (No 23 of 1996).

central liabilities

means the liabilities of the Society, excluding any liabilities of members (unless the Society has exercised its discretion to meet such liabilities) or any other participant at Lloyd's other than the Society.

central requirement

means the calculation made by the Society pursuant to the requirements of Solvency Capital Requirement - General Provisions 7.3.

certificate

means a certificate issued under section 63F(1) of FSMA (Issuing of certificates).

certification employee

means an employee (within the meaning in section 63E(9) of FSMA (certification of employees by authorised persons)) of a firm who has a valid certificate issued by that firm.

certification function

The changes to this defined term are effective from 23:00 on 31/12/2020. means: (1) for a CRR firm, a credit union and a third country CRR firm in relation to the activities of its establishment in the UK or if it does not have an establishment in the UK its activities in the UK, has the meaning given in Certification 2.2-2.4; (2) for a UK Solvency II firm, the Society, a managing agent, a third country branch undertaking (other than a Swiss general insurer) and a UK ISPV has the meaning given in Insurance - Certification 2; (3) for a large non-directive insurer and a Swiss general insurer has the meaning given in Large Non-Solvency II Firms - Certification 2; and (4) for a small non-directive insurer has the meaning given in Non-solvency II Firms - Certification 2.

certification regime

means the requirements of the regulatory system which apply to authorised persons insofar as they relate to persons performing certification functions including those set out in Certification, Fitness and Propriety, Insurance - Certification, Insurance - Fitness and Propriety, Large Non-Solvency II Firms - Certification, Large Non-Solvency II Firms - Fitness and Propriety, Non-Solvency II Firms - Certification and Non-Solvency II Firms - Fitness and Propriety and the corresponding FCA requirements in SYSC 27 and FIT of the FCA Handbook.

Chair of Audit Committee function

has the meaning given in Senior Management Functions 4.4.

Chair of Remuneration Committee function

has the meaning given in Senior Management Functions 4.5.

Chair of Risk Committee function

has the meaning given in Senior Management Functions 4.3.

Chair of the Governing Body function

has the meaning given in Senior Management Functions 4.2.

Chief Risk function

has the meaning given in Senior Management Functions 3.4.

claims amount

means an amount, as defined in Insurance Company - Capital Resources Requirements 9.1 in the Non-Solvency II Firms Sector, used in the calculation of the general insurance capital requirement.

class

means (in relation to a contract of insurance) any class of contract of insurance listed in Schedule 1 to the Regulated Activities Order.

classification of own funds permission

means the permission granted to a firm by the PRA pursuant to section 138BA of FSMA for the purpose of allowing the firm to include in its Tier 1 own funds, Tier 2 own funds or Tier 3 own funds (as the case may be) an own funds item that is not included in the own funds lists.

clearing member

This term is defined externally, please refer to: Article 300(3) CRR

client

has the meaning given in the FCA Handbook other than for the purposes of the part of the FCA Handbook in Specialist sourcebooks that has the title Professional Firms.

close links

(in the Solvency II Firms Sector of the PRA Rulebook) means a situation in which two or more persons are linked by control or participation, or a situation in which two or more persons are permanently linked to one and the same person by a control relationship. [Note: Art. 13(17) of the Solvency II Directive]

collateral

means (1) (in relation to any transaction) a mortgage, charge, pledge or other security interest or, as the context may require, an asset that is subject to a mortgage, charge, pledge or other security interest; and (2) (in relation to a stock lending, repo or derivative transaction only): (a) a transfer of assets (other than by way of sale) subject to a right of the transferor to have transferred back to it the same, or equivalent, assets or, as the context may require; or (b) a letter of credit, where the assets are transferred, or the letter of credit is issued, to secure the performance of the obligations of one of the parties to that transaction.

collective investment scheme

This term is defined externally, please refer to: s235(1) FSMA

collective investment undertaking

means a UCITS or an alternative investment fund.

commodity future

has the meaning given in the PRA Handbook as at 31 July 2015.

commodity option

has the meaning given in the PRA Handbook as at 31 July 2015.

common management relationship

means: (1) (in the CRR firms and Non-CRR firms Sectors) has the meaning given in Article 4(1) CRR; (2) (in the Solvency II firms and Non-Solvency II firms Sectors) means a relationship between two or more undertakings which satisfies the following conditions: (a) the undertakings are not connected in the manner described in section 1162 of, and Schedule 7 to, the Companies Act 2006; and (b) either: (i) the undertakings are managed on a unified basis pursuant to a contract with one of them, or provisions in the undertakings' respective memoranda or articles of association; or (ii) the governing bodies of those undertakings consist, for the major part, of the same persons in office during the financial year in respect of which it is being decided whether such a relationship exists; and (3) (in the Financial Conglomerates Part) has the meaning given in Article 4(1) CRR.

compensation funds

The changes to this defined term are effective from 23:00 on 31/12/2020. means any policyholder compensation scheme in the UK.

compensation scheme

means the Financial Services Compensation Scheme established under section 213 of FSMA.

competent authority

The changes to this defined term are effective from 23:00 on 31/12/2020. means: (1) the PRA, in respect of PRA-authorized persons within the meaning of section 2B(5) of FSMA; (2) in relation to a MiFID investment firm the authority designated before IP completion day by the UK in accordance with Article 67 of MiFID II; (3) the FCA, in respect of any other person. [Note: Art. 4(1)(26) of MiFID II]

composite firm

means a firm that carries on both long-term insurance business and general insurance business.

Conduct Rules non-executive director

means, in relation to a firm, a person who: (1) is a member of the board of directors of the firm or, if there is no such board, the equivalent body responsible for the management of the firm; (2) is not an approved person in relation to the firm; and (3) does not perform an executive function in relation to that firm.

conduct standards

The changes to this defined term are effective from 23:00 on 31/12/2020. (1) for a UK Solvency II firm, the Society, a managing agent and a UK ISPV, means the standards of expected conduct specified in Insurance - Conduct Standards 3; (2) for a third country branch undertaking (other than a Swiss general insurer), means the standards of expected conduct specified in Insurance - Conduct Standards 3.1 to 3.3 and, taking account only of matters relevant to the operations of the third country branch, Insurance - Conduct Standards 3.4 to 3.8; (3) for a small non-directive insurer, means the standards of expected conduct specified in Non-Solvency II Firms - Conduct Standards 2; (4) for a large non-directive insurer, means the standards of expected conduct specified in Large Non-Solvency II Firms - Conduct Standards 3; and (5) for a Swiss general insurer, means the standards of expected conduct specified in Large

Non-Solvency II Firms - Conduct Standards taking account only of matters relevant to the operations of the third country branch.

consolidated basis

has the meaning given in point (48) of Article 4(1) of the CRR.

Consolidated Life Directive

means the Council Directive of 5 November 2002 on the taking-up and pursuit of the business of life assurance (No 2002/83/EC), which consolidates the provisions of the First Life Directive, the Second Life Directive and the Third Life Directive.

consolidated situation

This term is defined externally, please refer to: Article 4(1)(47) of Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012

consolidating supervisor

This defined term is effective from 23:00 on 31/12/2020. means the competent authority responsible for the exercise of supervision on a consolidated basis of: (1) a UK parent institution; or (2) an institution controlled by a UK parent financial holding company or UK parent mixed financial holding company.

consolidation group

means the undertakings that a firm is required to include in the scope of consolidation pursuant to Articles 18, 19 and 23 of the CRR and Groups 2.1-2.3.

contract for differences

means the investment specified in article 85 of the Regulated Activities Order.

contract of differences

means the investment specified in article 85 of the Regulated Activities Order.

contract of insurance

(in relation to a specified investment) the investment, specified in article 75 of the Regulated Activities Order (Contracts of insurance), which is rights under a contract of insurance in (2) below. (in relation to a contract) has the meaning given in Article 3(1) of the Regulated Activities Order.

contracts of general insurance

has the meaning given in article 3(1) of the Regulated Activities Order.

contracts of long-term insurance

has the meaning given in article 3(1) of the Regulated Activities Order.

contractually based investment

has the meaning provided in Article 3(1) of the Regulated Activities Order.

contribution of input data

has the meaning given in article 3.1(8) of the benchmarks regulation.

control

The changes to this defined term are effective from 23:00 on 31/12/2020. (in the Solvency II Firms Sector of the PRA Rulebook) means the relationship between a parent undertaking and a subsidiary undertaking where that relationship falls within (1) to (6) of the definition of parent undertaking, or a similar relationship between any person and an undertaking. [Note: Art. 13(18) of the Solvency II Directive]

controlled function

means a function, relating to the carrying on of a regulated activity by a firm, which is specified by either the FCA or the PRA, under section 59 of FSMA (Approval for particular arrangements).

conversion notification

means a notice required to be sent to the PRA under article 2(1) or 11(b) of the Transitional Order including any update to such a notice.

coordinator

The changes to this defined term are effective from 23:00 on 31/12/2020. has the meaning given in regulation 1(2) of The Financial Conglomerates Regulations.

core UK group

means all counterparties that: (a) are listed in a firm's core UK group permission; (b) in relation to a firm, satisfy the conditions in Article 113(6) of the CRR; and (c) in respect of which exposures are exempted, under Article 400(1)(f) of the CRR, from the application of Article 395(1) of the CRR.

core UK group permission

means a permission given by the PRA under Article 113(6) of the CRR.

Council

means the governing body of the Society constituted by section 3 of the Lloyd's Act 1982.

countercyclical leverage ratio buffer

means the amount of common equity tier 1 capital as defined in Article 50 of the CRR as a firm or CRR consolidation entity must calculate in accordance with 4.1 and 4.2 of the Leverage Ratio - Capital Requirements and Buffers Part.

counterparty

means in relation to an insurer: (1) any one individual; (2) any one unincorporated body of persons; (3) any one undertaking not being a member of a group; (4) any group undertaking excluding any undertakings within the group which are subsidiaries of the firm; or (5) any government of a State together with all the public bodies, local authorities or nationalised industries of that State, in which the firm has made investments or against whom it has rights whether under a contract entered into by the firm or otherwise.

covered bonds

The changes to this defined term are effective from 23:00 on 31/12/2020. means a debenture that is issued by a credit institution which: (1) has its head office in the UK; and (2) is subject by law to special official supervision designed to protect the holders of the debenture; in particular, sums deriving from the issue of the debenture must be invested in accordance with the law in assets which, during the whole period of validity of the debenture, are capable of covering claims attaching to the debenture and which, in the event of failure of the issuer, would be used on a priority basis for the reimbursement of the principal and payment of the accrued interest.

CR Requirement

means an amount of capital resources that a firm must hold as set out in Insurance Company - Capital Resources Requirements 4 and 5.

CRD

means Directive 2013/36/EU of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms, amending Directive 2002/87/EC and repealing Directives 2006/48/EC and 2006/49/EC.

CRD credit institution

The changes to this defined term are effective from 23:00 on 31/12/2020. means a credit institution that has its registered office (or, if it has no registered office, its head office) in the UK, excluding an institution to which the CRD does not apply under Article 2 of the CRD.

credit institution

has the meaning given in point (1) of Article 4(1) of the CRR.

credit quality step

(in the Solvency II Firms Sector of the PRA Rulebook) means the credit quality steps 0 to 6 set out in Solvency Capital Requirement - Standard Formula 1D.

credit quality step pair

means a sequential pair of credit quality steps paired in the order in which they are set out in Solvency Capital Requirement - Standard Formula 1D.

credit rating

has the meaning given to that term in regulation 2(1) of the IRPR regulations.

credit rating agency

has the meaning given to that term in Regulation 2(1) of the IRPR regulations.

credit risk

The changes to this defined term are effective from 23:00 on 31/12/2020. means the risk of loss, or of adverse change, in the financial situation, resulting from fluctuations in the credit standing of issuers of securities, counterparties and any debtors to which a UK Solvency II firm is exposed, in the form of counterparty default risk, or spread risk, or market risk concentrations. [Note: Art. 13(32) of the Solvency II Directive]

credit union

means a credit union as defined by: (1) the Credit Unions Act 1979; or (2) the Credit Unions (Northern Ireland) Order 1985 which is an authorised person.

credit union non-executive director

means a non-executive director of a credit union who is not an approved person in relation to that credit union.

Credit Union Senior Manager function

has the meaning given in Senior Management Functions 6.2.

critical functions

has the meaning in section 3(1) and (2) of the Banking Act 2009.

critical services

means activities, functions or services performed for one or more business units of the firm or for the firm and another member of its group, whether by the firm itself, any other group member or a person outside the firm's group, the failure of which would lead to the collapse of or present a serious impediment to the performance of the firm's critical functions.

critical third party

means a person designated by the Treasury in regulations made under section 312L(1) of FSMA.

CRR

Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012.

CRR consolidation entity

means the PRA approved parent holding company, the PRA designated parent holding company or the PRA designated institution or where there is not one for the group concerned, the UK parent institution for that group.

CRR firm

means a UK bank, a building society or a UK designated investment firm.

CRR permission

means a permission given to a firm by the PRA under powers conferred on the PRA by the CRR.

CRR rules

has the same meaning as in section 144A of FSMA.

CSD

has the meaning given in Article 2(1)(1) of CSDR.

CSDR

means Regulation (EU) No 909/2014 of the European Parliament and of the Council of 23 July 2014 on improving securities settlement in the European Union and on central securities depositories and amending Directives 98/26/EC and 2014/65/EU and Regulation (EU) No 236/2012.